

BUSINESS PLAN

Digital Microfinance Group Lending Platform

Lesotho Financial Services

EXECUTIVE SUMMARY

Company Overview

Company Name: [Your Company Name] (Pty) Ltd

Trading As: [Platform Brand Name]

Registration Number: [To be assigned]

Registration Date: [Date]

Registered Office: [Address, Maseru, Lesotho]

Business Model

A technology-enabled microfinance platform connecting unbanked and underbanked Basotho to formal financial services through digitalized traditional group lending structures (Stokvels, Burial Societies, Employer Unions, and Savings Groups).

Mission Statement

To financially empower every Mosotho by bridging traditional community finance with modern digital banking, making credit accessible, affordable, and culturally appropriate.

Vision

To become Lesotho's leading digital financial inclusion platform, serving 100,000+ borrowers through 5,000+ community groups by 2028.

Value Proposition

- For Borrowers:** Access to fair, transparent loans through trusted community groups, with digital convenience and traditional social support
- For Lenders:** Reduced risk through group guarantees, lower operational costs via technology, access to previously unreachable markets
- For Communities:** Preservation of traditional financial solidarity structures while gaining digital advantages

Key Highlights

- Target market: 1.2M unbanked Basotho (60% of adult population)

- Phased regulatory approach: Tech platform → Cooperative → MFI license
- Leverages existing trust networks: 4 traditional group types already functional
- Technology-first: Mobile money integration, SMS/USSD for feature phones
- Social impact: Financial literacy, women's empowerment, rural development

Funding Requirements

Phase 1 (Months 1-6): M 1,015,000 (~\$55,800 USD)

- Platform development and launch
- Initial operations and team
- Regulatory registrations (Company + Cooperative)

Phase 2 (Months 7-18): M 1,130,000 (~\$62,150 USD)

- MFI license application and preparation
- Expanded operations and compliance systems

Phase 3 (Month 18+): M 3,355,000 (~\$184,500 USD)

- MFI operational capital
- Full-scale deployment

Total 18-Month Requirement: M 5,500,000 (~\$302,500 USD)

1. COMPANY STRUCTURE & GOVERNANCE

1.1 Legal Structure

Primary Entity: [Company Name] (Pty) Ltd

- Private company limited by shares
- Registered under Companies Act 2011
- Authorized Share Capital: M 1,000,000 (1,000,000 shares @ M 1.00 each)

Subsidiaries (Phased):

1. [Platform Name] Cooperative Society (Year 1)

- Registered under Cooperative Societies Act 2000
- Member-owned structure for group facilitation

2. [Platform Name] Microfinance Ltd (Year 2)

- Licensed Microfinance Institution
- Subsidiary of holding company
- Direct lending operations

1.2 Ownership Structure

Shareholder	Shares	% Ownership	Role
Founder 1	400,000	40%	CEO & Operations
Founder 2	300,000	30%	CTO & Technology
Employee Stock Option Pool	150,000	15%	Team incentives
Strategic Investors (Reserved)	150,000	15%	Future funding rounds

1.3 Board of Directors

Composition (Minimum 3, target 5):

1. Executive Directors (2):

- Chairperson & CEO: [Name], Mosotho, [Qualifications]
- Chief Technology Officer: [Name], [Qualifications]

2. Non-Executive Directors (3):

- Independent Director 1: [Name], Banking/Finance background
- Independent Director 2: [Name], Cooperative/Community development
- Independent Director 3: [Name], Technology/Digital finance

Requirements Met:

-  Minimum 2 Basotho citizens
-  At least 1 female director (gender diversity)
-  Collective 15+ years financial services experience
-  No criminal records (fit and proper test)

1.4 Management Team

Position	Responsibilities	Qualifications Required
CEO	Overall strategy, regulatory relations, fundraising	10+ years financial services, Mosotho
CTO	Technology development, platform security, innovation	8+ years fintech/software engineering

Position	Responsibilities	Qualifications Required
CFO (Year 2)	Financial management, compliance, reporting	CA or CFA, 8+ years in financial institutions
Chief Compliance Officer (Year 2)	AML/CFT, regulatory reporting, risk management	Certified compliance professional, 5+ years
Operations Manager	Day-to-day operations, customer service, field teams	5+ years operations management
Community Engagement Manager	Group formation, training, rural outreach	Social work/development background, fluent Sesotho

1.5 Advisory Board

- **Financial Sector Advisor:** Former CBL official or senior banker
 - **Technology Advisor:** International fintech expert
 - **Legal Advisor:** Lesotho attorney specializing in financial law
 - **Community Advisor:** Respected traditional leader or NGO director
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2. MARKET ANALYSIS

2.1 Lesotho Economic Context

Key Statistics:

- Population: 2.3 million (2024)
- GDP: M 47.4 billion (~\$2.6 billion USD)
- GDP per capita: ~\$1,130 USD
- Adult population: 1.2 million
- Unemployment rate: 24.6%
- Poverty rate: 49.7%

Financial Inclusion:

- Banked population: 40%
- Mobile money penetration: 55%
- Unbanked adults: ~720,000 people
- Informal credit users: ~450,000 people

Challenges:

- Limited rural banking infrastructure
- High cost of traditional banking services
- Low financial literacy (42% of adults)
- Predatory informal lending practices
- Collateral requirements exclude poor

2.2 Target Market Segments

Primary Target: Unbanked/Underbanked (720,000 people)

Segment 1: Rural Employed (250,000)

- Income: M 2,000 - M 5,000/month
- Employment: Teachers, nurses, government workers, farm workers
- Credit need: School fees, emergencies, small business
- Average loan: M 3,000 - M 10,000
- Group type: Employer unions, burial societies

Segment 2: Urban Informal Workers (200,000)

- Income: M 1,500 - M 4,000/month
- Employment: Street vendors, taxi drivers, domestic workers
- Credit need: Stock inventory, equipment, housing improvements
- Average loan: M 2,000 - M 8,000
- Group type: Stokvels, savings groups

Segment 3: Rural Self-Employed (150,000)

- Income: M 1,000 - M 3,000/month (seasonal)
- Employment: Subsistence farmers, small traders
- Credit need: Seeds/inputs, livestock, emergencies
- Average loan: M 1,500 - M 5,000
- Group type: Village savings groups, burial societies

Segment 4: Women Entrepreneurs (120,000)

- Income: M 1,500 - M 6,000/month
- Employment: Hawkers, hairdressers, tailors, food vendors

- Credit need: Working capital, equipment, premises
- Average loan: M 3,000 - M 15,000
- Group type: Women's stokvels, savings groups

Secondary Target: Banked Seeking Better Terms (100,000)

- Have bank accounts but face high interest rates
- Prefer group support and accountability
- Seeking financial literacy and savings discipline

2.3 Competitive Landscape

Direct Competitors

1. Traditional Banks

- Standard Lesotho Bank, Nedbank, FNB, Capitec
- **Strengths:** Capital, regulatory compliance, trust
- **Weaknesses:** High fees, collateral requirements, urban-focused, slow processes
- **Our Advantage:** Lower rates via group model, rural reach, cultural relevance

2. Existing MFIs

- Lesotho Post Bank, Let's End Poverty (LEP), Small Enterprise Development Company (SEDCO)
- **Strengths:** Microfinance experience, some rural presence
- **Weaknesses:** Limited digital capability, manual processes, small scale
- **Our Advantage:** Technology platform, group focus, mobile-first

3. Informal Lenders ("Mashonisa")

- Individual money lenders in communities
- **Strengths:** Fast disbursement, no paperwork, personal relationships
- **Weaknesses:** Exploitative rates (30-50% per month), predatory collection, no consumer protection
- **Our Advantage:** Transparent pricing, legal protection, preserves dignity

Indirect Competitors

4. Savings Groups (ASCAs/VSLAs)

- Traditional village savings and loan associations
- **Strengths:** Deep trust, zero fees, culturally embedded

- **Weaknesses:** Limited capital, manual record-keeping, no external credit
- **Our Advantage:** Digital enhancement, external capital access, scale

5. Mobile Money Lenders

- M-Pesa loans, Vodacom lending products
- **Strengths:** Instant, convenient, algorithm-based
- **Weaknesses:** Small amounts only, no human support, high rates
- **Our Advantage:** Larger loans, community support, better terms

2.4 Market Opportunity

Total Addressable Market (TAM):

- 720,000 unbanked adults × M 5,000 average loan = **M 3.6 billion** potential loan portfolio

Serviceable Addressable Market (SAM):

- 300,000 group-oriented individuals × M 5,000 = **M 1.5 billion** (5 years)

Serviceable Obtainable Market (SOM):

- Year 1: 5,000 borrowers × M 4,000 = **M 20 million**
- Year 3: 25,000 borrowers × M 5,000 = **M 125 million**
- Year 5: 100,000 borrowers × M 6,000 = **M 600 million**

Market Growth Drivers:

1. Government financial inclusion targets (80% by 2030)
2. Mobile money growth (15% annual)
3. Youth population (60% under 35)
4. Increasing formal employment
5. Digital literacy improvements
6. COVID-19 accelerated digital adoption

3. PRODUCTS & SERVICES

3.1 Core Platform Services

Service 1: Group Formation & Management

Features:

- Digital registration of traditional groups (Stokvels, Burial Societies, etc.)
- Constitution creation and voting
- Member invitation and verification
- Meeting scheduling and attendance tracking
- Communication tools (SMS, WhatsApp integration)
- Savings tracking and management

Revenue Model:

- Platform fee: M 500/group/year
- OR 1% of loans facilitated through platform

Service 2: Loan Facilitation & Marketplace

Features:

- Loan calculator and affordability assessment
- Group guarantee structure setup
- Lender marketplace (multiple lenders compete)
- Application workflow and document management
- Automated credit scoring (individual + group)
- Loan approval tracking

Revenue Model:

- Commission: 2-3% of loan amount (split between platform and partner lender)
- OR Referral fee: M 200-500 per loan

Service 3: Repayment Management

Features:

- Mobile money integration (M-Pesa, EcoCash)
- Automated payment reminders (SMS, WhatsApp)
- Flexible payment scheduling
- Group payment tracking and reporting
- Early warning system for defaults
- Peer support coordination

Revenue Model:

- Transaction fee: M 5-10 per payment
- OR included in loan commission

Service 4: Financial Literacy & Training**Features:**

- Digital courses (Sesotho and English)
- In-person group workshops
- Budgeting and savings tools
- Business planning templates
- Agricultural finance guidance
- Women's economic empowerment programs

Revenue Model:

- Free for borrowers (social impact)
- Funded by lender partnerships and grants
- Premium modules: M 50-200 for advanced business training

3.2 Loan Products (Phase 3: Direct Lending)**Product 1: Group Microloan**

- **Amount:** M 2,000 - M 15,000
- **Term:** 3, 6, 9, 12 months
- **Interest Rate:** 18-24% per annum
- **Guarantee:** Full group guarantee
- **Purpose:** General purpose, emergencies, small business
- **Eligibility:** Group member for 3+ months, good payment history

Product 2: Individual Loan (Group-Backed)

- **Amount:** M 5,000 - M 30,000
- **Term:** 6, 12, 18, 24 months
- **Interest Rate:** 20-28% per annum
- **Guarantee:** 50% group, 50% individual

- **Purpose:** Business expansion, education, housing improvement
- **Eligibility:** Group member for 6+ months, established business/income

Product 3: Agricultural Loan

- **Amount:** M 3,000 - M 20,000
- **Term:** 6-12 months (aligned with crop cycles)
- **Interest Rate:** 16-22% per annum (subsidized by government programs)
- **Guarantee:** Group + crop as soft collateral
- **Purpose:** Seeds, fertilizer, equipment, livestock
- **Eligibility:** Farmers group, land ownership/lease proof

Product 4: Women's Empowerment Loan

- **Amount:** M 2,000 - M 25,000
- **Term:** 6-18 months
- **Interest Rate:** 18-24% per annum
- **Guarantee:** Women's group guarantee
- **Purpose:** Business startup/expansion, education
- **Eligibility:** Women's group membership, business plan
- **Special:** Financial literacy training included

Product 5: Emergency Loan

- **Amount:** M 1,000 - M 5,000
- **Term:** 1-3 months
- **Interest Rate:** 20% per annum (lower for emergencies)
- **Guarantee:** Group guarantee + employer deduction
- **Purpose:** Medical, funeral, urgent family needs
- **Eligibility:** Any active group member, fast-track approval

3.3 Technology Platform Features

Borrower Mobile App (Android, iOS, USSD):

- Group management
- Loan application

- Payment tracking
- Financial literacy content
- Peer messaging
- Meeting check-ins
- Document uploads

Lender Dashboard (Web):

- Group marketplace
- Risk assessment tools
- Loan approval workflows
- Portfolio management
- Automated reporting
- Performance analytics

Admin Portal (Web):

- User management
- Compliance tools
- Reporting dashboards
- Customer support
- System configuration
- Fraud detection

Integration Partners:

- M-Pesa/Vodacom (mobile money)
 - Ministry of Home Affairs (ID verification)
 - Credit bureaus (TransUnion Lesotho)
 - SMS gateways (ClickSend, Africa's Talking)
 - Cloud infrastructure (AWS, Azure)
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4. OPERATIONAL PLAN

4.1 Implementation Timeline

Phase 1: Foundation (Months 1-6)

Month 1-2: Legal & Regulatory

- Company registration
- Cooperative society registration
- Data protection registration
- Open bank accounts
- Obtain tax clearance
- Register with CBL (notification of operations)

Month 2-4: Platform Development

- Finalize technical specifications
- Develop MVP (web + mobile)
- Integrate M-Pesa API
- Build SMS notification system
- Create admin dashboard
- User testing with pilot groups

Month 4-5: Partnerships

- Sign agreements with 2-3 licensed lenders
- Partner with 1-2 NGOs for financial literacy
- Engage community leaders for endorsements
- Recruit field agents (5-10)

Month 5-6: Pilot Launch

- Recruit 50-100 groups (500-800 borrowers)
- Focused on Maseru and Leribe districts
- Intensive onboarding and training
- Process first 50-100 loans
- Gather feedback and iterate

Key Metrics:

- 75+ active groups registered
- 600+ borrowers onboarded
- M 2 million in loans facilitated
- 90%+ repayment rate
- <5% default rate

Phase 2: Growth & MFI Preparation (Months 7-18)**Month 7-9: Scale Operations**

- Expand to 5 districts
- Grow to 300-500 groups
- Hire compliance officer
- Implement full KYC/AML systems
- Launch financial literacy program

Month 10-12: MFI Application

- Hire legal/compliance consultants
- Prepare MFI license application
- Raise capital (M 2-3 million)
- Set up physical office
- Recruit senior management team

Month 13-18: Compliance Build-Out

- Implement core banking system
- Complete MFI application submission
- Build out full compliance framework
- Staff training on MFI operations
- Await license approval

Key Metrics:

- 400+ active groups
- 3,500+ borrowers

- M 18 million loan portfolio
- 95%+ repayment rate
- <3% default rate
- MFI license application submitted

Phase 3: MFI Operations (Month 18+)

Month 18-24: Licensed Operations

- Receive MFI license
- Launch direct lending products
- Expand to all 10 districts
- Scale to 1,000+ groups
- Build branch network (3-5 branches)

Month 24-36: Market Leadership

- Grow to 5,000+ groups
- 50,000+ borrowers
- M 250 million portfolio
- Launch additional products (savings, insurance)
- Regional expansion planning (South Africa, Eswatini)

4.2 Operational Processes

Group Onboarding Process

1. Discovery (Day 1-3)

- Group admin creates account
- Selects group type
- Invites initial members

2. Formation (Day 4-14)

- Members join and verify identity
- Upload required documents
- Create group constitution
- Vote on rules (digital signatures)

3. Verification (Day 15-30)

- Platform verifies documents
- Conducts reference checks
- Partner lender reviews group
- Chief endorsement obtained (if applicable)

4. **Activation** (Day 30+)

- Group status: ACTIVE
- Can apply for loans
- Access full platform features

Loan Processing Workflow

1. **Application** (Day 1)

- Borrower completes online form
- Uploads required documents
- Group guarantors endorse
- Affordability calculation automatic

2. **Review** (Day 2-3)

- Automated credit scoring
- Document verification
- Group health check
- Lender review (if manual)

3. **Approval** (Day 3-5)

- Decision notification (SMS + app)
- Loan agreement generation
- Digital signing by all parties

4. **Disbursement** (Day 5-7)

- Funds transferred to M-Pesa
- Confirmation to all parties
- Repayment schedule activated
- First reminder sent

5. **Servicing** (Ongoing)

- Automated payment reminders (5 days before due date)

- Mobile money deduction on due date
- Receipt confirmation
- Group performance tracking

Collections & Default Management

Tiered Approach:

Day 1 (Due Date): Automated payment attempt via mobile money

Day 2-7 (Grace Period):

- Friendly SMS reminders
- Group admin notified
- Peer support encouraged

Day 8-14 (Early Intervention):

- Phone call from customer service
- Offer flexible payment plan
- Group meeting facilitated

Day 15-30 (Group Responsibility):

- Group guarantors notified
- Request group cover payment
- Traditional mediation engaged

Day 31-60 (Escalation):

- Formal default notice
- Chief/elder mediation
- Group rating affected
- Restructuring options explored

Day 60+ (Last Resort):

- Legal action consideration
- Credit bureau reporting
- Asset attachment (only if collateral provided)
- Focus remains on rehabilitation, not punishment

Default Prevention:

- Predictive analytics (flag at-risk borrowers)
- Income verification at application
- Seasonal payment adjustments for farmers
- Emergency loan options
- Insurance integration

4.3 Staffing Plan

Year 1 (Platform Launch)

Role	Count	Monthly Cost	Annual Cost
CEO/Founder	1	M 30,000	M 360,000
CTO/Tech Lead	1	M 25,000	M 300,000
Operations Manager	1	M 15,000	M 180,000
Community Manager	1	M 10,000	M 120,000
Customer Support	2	M 6,000	M 144,000
Field Agents	5	M 4,000	M 240,000
Total Year 1	11	M 104,000	M 1,344,000

Year 2 (MFI Preparation)

Role	Count	Monthly Cost	Annual Cost
Management Team	3	M 70,000	M 840,000
Compliance Officer	1	M 20,000	M 240,000
Finance Manager	1	M 18,000	M 216,000
Operations Team	3	M 36,000	M 432,000
Customer Support	4	M 24,000	M 288,000
Field Agents	10	M 40,000	M 480,000
IT Support	2	M 20,000	M 240,000
Total Year 2	24	M 228,000	M 2,736,000

Year 3 (MFI Operations)

Role	Count	Monthly Cost	Annual Cost
Senior Management	5	M 130,000	M 1,560,000
Compliance & Risk	3	M 54,000	M 648,000
Finance & Audit	3	M 48,000	M 576,000
Operations	6	M 72,000	M 864,000
Customer Support	8	M 48,000	M 576,000
Field Agents	20	M 80,000	M 960,000
IT & Data	4	M 52,000	M 624,000
Total Year 3	49	M 484,000	M 5,808,000

4.4 Key Performance Indicators (KPIs)

Growth Metrics

- Active groups registered
- Total borrowers onboarded
- Loan applications submitted
- Loans disbursed (volume & value)
- Monthly active users (MAU)

Financial Metrics

- Total loan portfolio
- Average loan size
- Revenue (commissions + fees)
- Operating costs
- Net profit margin
- Return on assets (ROA)
- Return on equity (ROE)

Quality Metrics

- Loan approval rate
- Repayment rate (on-time)
- Default rate (NPL ratio)
- Customer satisfaction score (NPS)
- Platform uptime (99.5%+)

- Average loan processing time

Social Impact Metrics

- Women borrowers (% of total)
 - Rural borrowers (% of total)
 - First-time borrowers
 - Jobs created/supported
 - Financial literacy participants
 - Households impacted
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5. FINANCIAL PROJECTIONS

5.1 Revenue Model & Assumptions

Revenue Streams

Stream 1: Loan Facilitation Commission

- 2.5% of loan amount (split with partner lender during Phase 1-2)
- 100% platform revenue (direct lending in Phase 3)
- Example: M 5,000 loan $\times$ 2.5% = M 125 commission

Stream 2: Platform Subscription Fees

- M 500 per group per year
- Covers platform access, communication tools, basic support

Stream 3: Transaction Fees

- M 10 per repayment transaction
- M 5 per savings deposit

Stream 4: Financial Literacy Training

- M 100 per person for premium courses
- Free basic courses (funded by grants/lenders)

Stream 5: Data & Analytics (Future)

- Anonymized data insights to lenders
- Credit scoring services

- Market research reports

Key Assumptions

Loan Portfolio Growth:

- Year 1: 800 borrowers, avg loan M 4,000, 1.5 loans/borrower/year
- Year 2: 3,500 borrowers, avg loan M 5,000, 1.8 loans/borrower/year
- Year 3: 15,000 borrowers, avg loan M 6,000, 2.0 loans/borrower/year

Group Growth:

- Year 1: 100 groups, avg 8 members/group
- Year 2: 450 groups, avg 8 members/group
- Year 3: 1,800 groups, avg 8.5 members/group

Commission Rates:

- Year 1-2: 2.5% (partnership model, split revenue)
- Year 3: Full interest spread (20-28% lending rate vs 5-8% funding cost)

Operating Costs:

- Year 1: 85% of revenue (startup phase)
- Year 2: 75% of revenue (scaling)
- Year 3: 60% of revenue (efficiency gains)

Default Rates:

- Year 1: 5% (pilot, careful selection)
- Year 2: 4% (improved processes)
- Year 3: 3% (mature operations, group guarantee effect)

5.2 Three-Year Financial Projections

(All figures in Maloti '000)

Income Statement

Item	Year 1	Year 2	Year 3
REVENUE			
Loan facilitation commission	120	787	9,000
Platform subscription fees	50	225	900
Transaction fees	14	88	480
Training revenue	8	35	150
Total Revenue	192	1,135	10,530
OPERATING EXPENSES			
Salaries & benefits	1,344	2,736	5,808
Technology & platform	350	420	550
Office & facilities	80	180	300
Marketing & customer acquisition	120	250	450
Field operations & transport	150	320	580
Legal & compliance	60	150	280
Loan loss provision	24	126	540
Other operating expenses	80	150	280
Total Operating Expenses	2,208	4,332	8,788
EBITDA	(2,016)	(3,197)	1,742
Depreciation & amortization	50	80	120
EBIT	(2,066)	(3,277)	1,622
Interest expense	0	50	200
Profit Before Tax	(2,066)	(3,327)	1,422
Tax (25%)	0	0	356
Net Profit/(Loss)	(2,066)	(3,327)	1,066

Balance Sheet (End of Year)

Item	Year 1	Year 2	Year 3
ASSETS			
Cash & equivalents	450	280	1,800
Loan portfolio (net)	0	0	45,000
Accounts receivable	35	180	650
Property & equipment	150	280	450
Intangible assets (software)	200	320	400
Total Assets	835	1,060	48,300
LIABILITIES			
Accounts payable	120	250	480
Accrued expenses	80	150	320
Borrowings	0	500	25,000
Total Liabilities	200	900	25,800
EQUITY			
Share capital	1,000	3,500	5,500
Retained earnings	(365)	(3,340)	(2,000)
Total Equity	635	160	22,500
Total Liabilities & Equity	835	1,060	48,300

Cash Flow Statement

Item	Year 1	Year 2	Year 3
Operating Activities			
Net profit/(loss)	(2,066)	(3,327)	1,066
Depreciation & amortization	50	80	120
Loan loss provision	24	126	540
Change in working capital	(95)	(195)	(290)
Net Cash from Operations	(2,087)	(3,316)	1,436
Investing Activities			
Purchase of equipment	(150)	(130)	(170)
Software development	(200)	(120)	(80)
Loan portfolio growth	0	0	(45,000)
Net Cash from Investing	(350)	(250)	(45,250)
Financing Activities			
Equity raised	1,000	2,500	2,000
Borrowings	0	500	24,500
Net Cash from Financing	1,000	3,000	26,500
Net Change in Cash	(1,437)	(566)	(17,314)
Opening cash balance	0	450	280
Closing Cash Balance	450	280	